

especially music and videos, to be free; and BBC iPlayer is the service people would like the most to see on their phones.



Twitter is very easy to use on your mobile phone

Paolo Pescatore, report author and head, mobile content, CCS Insight, shares, "Forget music downloads and video—social networking is what people want. Media owners and operators will have to find new ways to make money from their assets."

### Union budget 2009-10: Electronics manufacturing takes a back seat

India's electronic component and hardware industry is plagued with lack of investment and value addition. To resolve this situation, there is urgent need for reducing input costs and the industry needs a strong and clear direction from the government. This has eluded the industry once again in Union Budget 2009-10.

The budget has some positives such as abolition of the FBT and retaining the excise duty at 8 per cent, which encourage the industry and reduce the

grey market. These two measures are welcomed by ELCINA. The extension of 150 per cent deduction for in-house R&D is also a welcome step. It is also a positive development that 5 per cent customs duty has been imposed on set-top boxes and duty reduced on LCD panels (an essential input for assembly of LCD TVs) from 10 to 5 per cent. These two are sunrise products with rapidly expanding markets and their local manufacture is bound to bring some opportunities for local electronic component manufacturers.

The announcement for a national rollout of GST is a positive statement but there are doubts about its feasibility as details are yet unknown to the industry. Also CST was expected to be reduced to 1 per cent this year but the budget is silent on the same. This is a negative development as even 1 per cent cost of a regressive tax like CST is a big burden on a fiercely competitive industry.

The industry is disappointed at the lack of support to encourage high-value-added manufacturing and investments in electronic components and hardware.

### PC sales record negative growth

The total PC sales between April 2008 and March 2009, with desktop computers, notebooks and netbooks taken together, were 6.79 million units, registering a decline of seven per cent over the previous year—according to Manufacturers' Association for Information Technology (MAIT). IT consumption in 2008-09 was severely impacted, especially in the second half of the fiscal year, by the slowdown in the Indian economy.

Impact on consumption of notebooks was most pronounced as growth plummeted to a negative 17 per cent compared to a high of 114 per cent in the previous year. Sales of desktops declined four per cent. The October-November-December quarter was the most adversely impacted, subsequent to which growth in PC consumption started to show signs of revival. With

business sentiment gradually gaining momentum, PC consumption in fiscal 2009-10 is expected to cross 7.3 million units, registering a seven per cent growth.

### MTNL invites private players to roll out 3G services

Mahanagar Telephone Nigam Ltd (MTNL) has invited private players to roll out its 3G services in Delhi and Mumbai on a revenue-sharing basis. Though the public sector undertaking has not managed to push the uptake of the new technology, it has set stiff targets for the proposed private partner. The targets include assured revenue of Rs 2.4 billion in each Metro over a three-year period.

MTNL is seeking proposals from the prospective participants who have necessary resources and infrastructure to provide customer care, set up own payment mechanism, create sales and distribution network to promote MTNL brand or create own branding for 3G services. Bids from interested players will be opened on August 1, 2009.

### LG, Samsung won't cut LCD TV prices

The consumer electronics industry seems to be in no mood to pass on the benefit of cut in basic customs duty on LCD panels from 10 per cent to five per cent announced in the latest budget to customers. Its plea is that the increase in input costs is more than the duty cut announced. While LG and Samsung have no immediate plans to reduce the prices, other companies like Sony and Haier, which do not manufacture LCD TVs in India, will not be impacted by the government's decision.

### IBM bags deal from Sun Direct TV

IBM will implement and manage customer relationship management (CRM) related applications and services for Sun Direct TV (SDTV), part of Chennai-based Sun TV Group. This multi-year deal includes end-to-end services, from strategy through implementation,